

competitors, as well as tables that compare the company's profitability versus its competitors.

Several years ago, I found a company, Insurance Auto Auctions (IAAI), in this manner. I had been reading a research report on Copart (CPRT), a competitor of IAAI's, and found a table near the end of the report that compared CPRT's margins with IAAI's. There was a huge disparity between the two. Both companies acquired wrecked cars from insurance companies, stored them on their lots, and then auctioned them off live or through the Internet to buyers including salvage yards and auto body shops. Although both companies did the exact same thing, IAAI's margins were much lower. After meeting with management and doing some research, I couldn't figure out any reason why IAAI's margins shouldn't increase towards CPRT's levels. In addition, the stock could be purchased for just over five times forward EBITDA and at better than a 10 percent free cash flow yield. I began to purchase the stock around \$15 per share, buying all the way up to \$22 per share. Within a year, a buyout firm, Kelso, Inc., bought the company at \$28.25 per share.

The general principle is that when there are major discrepancies between similar companies, the profit potential can result in a takeover or be realized by the market. Then when the stock reaches a reasonable valuation, you sell it and move on to the next investment.

Good ideas don't come that often. But the wider you cast your net through reading, screening, and speaking with others, the greater the likelihood that you will succeed in finding good ideas.

Can you think of a trade that didn't work that provided a learning lesson?

In late 2006, I bought Horizon Lines, which was a Jones Act container shipping company operating vessels primarily between Hawaii, Alaska, Puerto Rico, and the U.S. mainland. Under the Jones Act, all vessels transporting cargo between covered U.S. ports must be built in the U.S., registered under the U.S. flag, manned by predominantly U.S. crews, and owned and operated by U.S.-organized companies that are controlled and 75 percent owned by U.S. citizens. As one can imagine, the Jones Act creates a significant barrier to entry in these shipping lanes, and as a